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Case Number: 26STCV03651 Hearing Date: June 24, 2026 Dept: 509

Mauricio Navarette v. Villagrana Logistics, Inc.

MOTION TO COMPEL ARBITRATION

MOVING PARTY: Defendant Villagrana Logistics, Inc.

RESPONDING PARTY(S): Plaintiff Mauricio Navarette

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

This is an employment action. Plaintiff Mauricio Navarette (Plaintiff) worked for defendant Villagrana Logistics, Inc. (Defendant). Plaintiff alleges causes of action for: (1) disability discrimination; (2) failure to reasonably accommodate; (3) failure to engage in a prompt, good faith interactive process; (4) retaliation in violation of FEHA; (5) failure to take all reasonable steps to prevent and/or remedy discrimination and/or retaliation; and (6) wrongful termination in violation of public policy.

Defendant now moves to compel Plaintiff to arbitrate the dispute. Plaintiff opposed.

TENTATIVE RULING:

Defendants' Motion to Compel Arbitration is GRANTED. The action is stayed pending the results of the arbitration.

A Status Review/OSC re: Dismissal is set for June 24, 2027, at 8:30 a.m.

Moving parties to give notice, unless waived.

DISCUSSION:

Motion to Compel Arbitration

1. Legal Standard

“[T]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence . . . .” (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284). “In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made.” (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353.) “Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.” (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 205.)

“[A] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.)

“If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. . . .” (Code Civ. Pro. §1281.4.)

2. Objections to Evidence

Defendant submits objections to evidence.

This Court is unaware of any legal authority which requires a court to rule on evidentiary objections on a motion, except as to a motion for summary motion/adjudication (Code Civ. Pro. § 437c, subd. (q)] or a special motion to strike (Code Civ. Pro. § 425.16, subd. (b)(2)); see also, Sweetwater Union High School Dist. v. Gilbane Building Co. (2019) 6 Cal.5th 931, 947-949.)

As such, this Court respectfully declines to rule on these objections. This Court is well aware of the rules of evidence, and to how much weight, if any, should be given to any of the proposed evidence.

3. Analysis

California has a strong public policy in favor of arbitration as an expeditious and cost-effective way of resolving disputes. “Even so, parties can only be compelled to arbitrate when they have agreed to do so.” (Avila v. S. California Specialty Care, Inc. (2018) 20 Cal. App. 5th 835, 843.) “The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement.” (Ibid.)

As an initial matter, the parties do not dispute that Plaintiff signed the Arbitration Agreement or that the Arbitration Agreement generally covers the claims here. While “Plaintiff does not recall the Agreement,” Plaintiff does not challenge the validity of the Agreement. (See Opp. at p. 9.) Instead, Plaintiff argues that he was a transportation worker exempt from the FAA and asserts various defenses to enforcement.

A. The CAA, not the FAA Applies

A motion to compel arbitration based on the FAA must show not only that that the employer engaged in interstate commerce but also that "the employment relationship involved interstate commerce." (Lane v. Francis Capital Management LLC (2014) 224 Cal.App.4th 676, 687-688.) Courts have found that where the FAA is found not to apply, the California Arbitration Act (Code Civ. Proc. § 1280 et seq.) applies. (See Valencia v. Smyth, 185 Cal.App.4th 153, 178.)

Here, Plaintiff argues that an FAA exemption applies because, as a transportation worker who delivers packages for Amazon and is involved in interstate commerce, he is exempt from the FAA. (Rittmann v. Amazon, Inc. (9th Cir. 2020) 971 F.3d 904. ("Rittman").) Defendant argues that Plaintiff has not demonstrated that he is exempt from the FAA and therefore is subject to it.

"[A]ny class of workers directly involved in transporting goods across state or international borders falls within [9 United States Code] § 1's exemption" for contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce. (Southwest Airlines Co. v. Saxon (2022) 142 S.Ct. 1783, 1789 ("Saxon"); see also 9 U.S. Code § 1 [FAA exemption].) The Supreme Court has confined the "class of workers" language to exempt only "contracts of employment of transportation workers." (Circuit City Stores, Inc. v. Adams (2001) 532 U.S. 105, 119, emphasis added.) Subsequently, several courts have held that "transportation workers" were workers "who are actually engaged in the movement of interstate or foreign commerce or in work so closely related thereto as to be in practical effect part of it." (Singh v. Uber Techs. Inc. (3d Cir. 2019) 939 F.3d 210, 220-221, quoting Tenney Engineering, Inc. v. Electric Workers (3d Cir. 1953) 207 F.2d 450, 452).

In Rittman, plaintiffs provided delivery service for a subsidiary of defendant Amazon.com. (Rittmann, supra, 971 F.3d at p. 907.) Defendant argued that the workers were solely involved in intrastate commerce not interstate commerce as they only made deliveries within a small area. (Id. at p. 909) The court rejected this theory and stated that workers engaged in interstate commerce need not cross state lines. (Id. at p. 915.) The court further explained that Amazon's business model is premised on delivering goods which can and do arrive from other states and until delivered, those goods were in the stream of interstate commerce. (Ibid.) Thus, the plaintiffs were transportation workers engaged in interstate commerce. (Ibid.) Delivery drivers who worked on the "last mile" (i.e., the final leg of shipment of interstate goods to customers who ordered the shipped good) were part of the interstate transaction because of their participation in the conclusion of the interstate transaction of the goods.

Plaintiff argues that, like Rittman, he was a transportation worker who was engaged in interstate commerce because he delivered Amazon packages exclusively and those packages were a part of interstate commerce. Defendant points out that Plaintiff provides no evidence that he transported packages originating from out of state. Nevertheless, Defendant does not directly dispute Plaintiff's assertions. Villagrana's declaration states that Defendant is a delivery service and Amazon is one of its clients; Defendant hires drivers to deliver packages to Amazon customers; and that Plaintiff worked as a delivery driver, whose duties include picking up packages from the Amazon delivery location in Riverside and delivering the packages locally. Even if Defendant itself makes local deliveries and does not exclusively deliver Amazon packages, Plaintiff's specific duties were similar to those of the plaintiff in Rittman. Because Plaintiff completed the last leg of shipments of interstate goods to customers, Plaintiff was part of the interstate transaction. Thus, although Plaintiff may not have been personally aware of the exact origin of Amazon's packages, Plaintiff has sufficiently raised the issue that he is a transportation worker subject to exemption under the FAA.

However, the arbitration agreement states "[t]he Federal Arbitration Act ("FAA") and federal common law applicable to arbitration shall govern the interpretation and enforcement of this Agreement. If, for any reason, the FAA or federal common law is found not to apply to this Agreement (or its agreement to arbitrate), then applicable state law shall govern." (Villagrana Decl., Exh. 1 a p. 3.) Because the FAA no longer applies, California law shall govern the interpretation and enforcement of the arbitration agreement and California law does not have an exception for interstate commerce employees. (See Code Civ. Proc., § 1280, et seq.)

Thus, the Arbitration Agreement is still enforceable under California law, and the Court turns to Plaintiff's defenses to enforcement.

B. Defenses to Enforcement

Plaintiff argues the Agreement should be disregarded based on principles of unconscionability. Unconscionability has "both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (Sanchez v. Valencia Holding Company, LLC (2015) 61 Cal.4th 899, 910.) Under California law, an arbitration agreement must be in some measure both procedurally and substantively unconscionable in order for the agreement to be unenforceable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114 (Armendariz); De La Torre v. CashCall, Inc. (2018) 5 Cal.5th 966, 982.) "But they need not be present in the same degree. . . . [T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Armendariz, supra, 24 Cal.4th at p. 114.)

1. Procedural Unconscionability

First, Plaintiff argues the agreement is procedurally unconscionable because it was a contract of adhesion—it was offered on "take-it-or-leave it-basis" as a condition of employment and he had no ability to negotiate its terms. Plaintiff alleges that this contract of adhesion should invalidate the Agreement. "The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it." [Citation]. (Armendariz, supra, 24 Cal.4th at p. 113.)

Here, the Court agrees with Plaintiff that the dynamic here represents a classic contract of adhesion, but only to the degree that is typical in the employer-employee context. Therefore, the "take it or leave it" nature of the agreement is sufficient to establish "some degree of procedural unconscionability." (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 915). This means the substantive terms of the agreement must be scrutinized to ensure they are not manifestly unfair or one-sided. (Ibid.)

2. Substantive Unconscionability

Plaintiff also contends the Agreement is substantively unconscionable. "'Substantive unconscionability' focuses on the terms of the agreement and whether those terms are 'so one-sided as to 'shock the conscience.'" (Kinney v. United HealthCare Services, Inc. (1999) 70 Cal.App.4th 1322, 1330.)

"[A]n arbitration agreement is lawful if it '(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators' fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment 'effectively may vindicate [his or her] statutory cause of action in the arbitral forum.' [Citation.] " (Armendariz v. Foundation Health Psychcare Services, Inc., supra, 24 Cal.4th at p. 102.)

Here, Plaintiff alleges the arbitration provision fails the Armendariz test because it is overbroad and limits Plaintiff's right to bring representative PAGA actions. Plaintiff asserts that the inclusion of this term renders the Arbitration Agreement fatally unconscionable.

i. The Arbitration Agreement is Not Overbroad

Plaintiff identifies two purportedly unconscionable aspects of the Agreement: (1) it would require arbitration of claims that do not have to do with Plaintiff's employment; and (2) it would require arbitration of claims that might arise between Plaintiff and certain nonsignatories. Plaintiff's authority for arguing that these two aspects of the Agreement are unconscionable is Cook v. University of Southern California (2024) 102 Cal.App.5th 312 (Cook) and Stoker v. Blue Origin, LLC (2026) 120 Cal.App.5th 91 (Stoker).

Plaintiff's reliance on Cook is misplaced. In Cook, the arbitration agreement was reached between the plaintiff and her employer, the University of Southern California (USC), a large organization that provides different types of services in the Los Angeles area, including services regarding medical treatment, education, and sports events. The court in Cook characterized the arbitration agreement as one "of infinite duration requir[ing] an employee to arbitrate all claims against the employer, its agents, affiliates, and employees irrespective of whether they arise from the employment relationship." (Cook, supra, 102 Cal.App.5th at p. 316.) The agreement was between the plaintiff employee and USC, and stated:

Therefore, the University and the faculty or staff member named below ('Employee') agree to the resolution by arbitration of all claims, whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee.

(Cook, supra, 102 Cal.App.5th at p. 317.)

The trial court found that the agreement "would include claims completely unrelated to [the plaintiff's] employment, stating that if [the plaintiff] was the victim of a botched surgery in a USC hospital in 15 years, her claims could be subject to the arbitration agreement." (Cook, supra, 102 Cal.App.5th at p. 318, internal quotation marks omitted.) "The trial court also held the agreement lacked mutuality because it required [the plaintiff] to arbitrate her claims against USC and all of USC's 'related entities' including officers, trustees, administrators, employees, and agents. However, in contrast, the agreement only required USC to arbitrate its claims against [the plaintiff] but did not require USC's 'related entities' to arbitrate their claims against [the plaintiff]." (Id. at p. 319.)

The appellate court agreed with the trial court's conclusion that the three aspects of the agreement were unconscionable. The appellate court found that the provision of the agreement allowing third-party beneficiaries to arbitrate claims against the plaintiff employee demonstrated a lack of mutuality:

The agreement requires [the plaintiff] to arbitrate any and all claims she may have against USC "or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise." However, the agreement does not require USC's "related entities" to arbitrate their claims against [the plaintiff].

USC argues that both federal and California caselaw have recognized that nonsignatories may enforce arbitration agreements as third-party beneficiaries, and the agreement cannot be unconscionable simply because it provides benefits to third parties. The concern here is not that the arbitration agreement provides ancillary benefits to third parties. The concern is that the agreement provides benefits to broad swaths of third-party beneficiaries only in favor of USC without any showing of justification for this one-sided treatment. This confers a benefit on USC and its broadly-defined "related entities" that is not mutually afforded to [the plaintiff]. USC does not attempt to justify this one-sidedness. No explanation is offered as to why [the plaintiff] should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there.

(Cook, supra, 102 Cal.App.5th at pp. 326-327.)

The non-mutual provision was found unconscionable, at least in part, because it existed in a contract that applied for an infinite amount of time to all claims, even those not arising from the plaintiff's employment. The court in Cook again made clear that the non-mutual provision was unconscionable because USC had "offered no justification for this one-sided treatment" that would effectively require the plaintiff to arbitrate any and all claims she might have against any USC employees, even if those claims arose decades after her employment ended. (Cook, supra, 102 Cal.App.5th at p. 328.)

The relevant provisions of the Agreement here can be distinguished from those in Cook. Like Cook, the Agreement here does require arbitration of claims that might arise between Plaintiff and certain nonsignatories, including Defendant's agents, officers, employees, and clients. However, unlike in Cook, the Agreement does not require arbitration of any and all claims; rather, the “covered claims” are limited to disputes:

arising out of or relating to (a) Employee’s application, hiring, hours worked, services provided, and/or employment with the Company or the termination thereof, and/or (b) a Company policy or practice, or the Company’s relationship with or to a customer, vendor, or third party, including without limitation claims Employee may have against the Company and/or any Covered Parties (defined below), or that the Company may have against Employee.

(Villagrana Decl., Exh. 1 a p. 1.)

This language potentially covers claims that extend beyond Plaintiff’s employment relationship, but it nonetheless limits the nature of those claims to those having to do with Defendant’s policies and practices, or with Defendant’s relationships with its customers/vendors.

For example, since Amazon appears to be one of Defendant’s clients, the Agreement would require Plaintiff to arbitrate a dispute with Amazon, but only to the extent that that dispute arose out of Defendant’s relationship with Amazon. The Agreement would not require arbitration of a dispute between Plaintiff and Amazon that arose out of some action by Amazon other than its relationship with Defendant. The Agreement’s limitation of the scope of arbitrable claims thus significantly limits the number and type of disputes that Plaintiff would have to arbitrate when compared to the scope in Cook, which required arbitration of any claims.

Because an employee’s interactions with his employer are typically limited to the employment relationship, an arbitration agreement that calls for a scope of arbitrable claims that extends beyond employment disputes will nonetheless, as a general matter, be limited to employment disputes. Here, given the dearth of evidence on this question, the notion that Plaintiff could come into interact with Defendant in a way that would allow for a non-employment legal dispute to arise is too speculative a possibility to justify a finding of unconscionability. ¿

As the trial court in Cook suggested in its ruling, the agreement in Cook was unconscionable because of the nature of USC’s operations: “if [the plaintiff] was the victim of a botched surgery in a USC hospital in 15 years, her claims could be subject to the arbitration agreement.” (Cook, supra, 102 Cal.App.5th. at p. 318, internal quotation marks omitted.) Along the same lines, if the plaintiff in Cook had decided to pay for education for herself or family members at USC, any of the plaintiff’s legal claims arising from that education would likely have been subject to the employment arbitration agreement; likewise, under the arbitration agreement in Cook, the plaintiff would have been required to arbitrate her personal injury claims if she were injured by one of USC’s employees or agents when attending a USC football game. [FN 1] No analogous situation exists here. No evidence or argument has been submitted that would allow this court to analogize Defendant’s business to a large university offering different types of services throughout the community. Thus, the notion that a covered dispute regarding Defendant’s policies/practices might arise between Plaintiff and one of Defendant’s agents, employees, or clients outside of the employment context is simply too implausible to demonstrate any real substantive unconscionability here.

Finally, while there might be some lack of mutuality when a defendant employer requires an employee to agree to arbitrate claims the employee has against that employer’s affiliated entities, agents and clients, that lack of mutuality is typically justified by a business’s desire to control how claims are brought against it and its agents or employees.¿ (Armendariz, supra, 24 Cal.4th at pp. 117-118 [“unconscionability turns not only on a one-sided result, but also on an absence of justification for it”], internal citations and quotation marks omitted.) A business entity like Defendant can only act by and through the action of others, which may include officers, directors, members, employees, and agents; moreover, a business entity may often be held liable for the actions of its officers, agents, and employees; accordingly, Defendant has an interest in requiring arbitration for claims brought against Defendant’s related entities, agents, and employees.¿ “A contract can provide a margin of safety that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.”¿ (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1250, internal citations, quotation marks, and brackets omitted.) As a result,¿Plaintiff has failed to show that the Arbitration Agreement lacks mutuality and that such lack of mutuality is unjustifiable.

ii. The Representative Action Waiver is Substantively Unconscionable

A clause prohibiting employees from bringing class or collective actions is substantively unconscionable because “only employees bring [such claims] against employers.” (Navas v. Fresh Venture Foods, LLC (2022) 85 Cal.App.5th 626, 636.) Here, the Arbitration Agreement states that:

Each of the Employee and the Company expressly intends and agrees, to the absolute maximum extent permitted by law, that: (a) class action, collective action, or consolidated action procedures are hereby waived and shall not be asserted in arbitration or in court, nor will they apply in any arbitration pursuant to this Agreement; (b) representative action procedures are hereby waived and shall not be asserted in arbitration or in court, nor will they apply in any arbitration pursuant to this Agreement; (c) each will not assert class action, collective action, consolidated action or representative action claims against the other in arbitration or court or otherwise; and (d) the Employee and the Company shall only submit their own, individual claims in arbitration and will not seek to represent the interests of any other person. No arbitrator selected to arbitrate any claim covered by this Agreement is authorized to arbitrate any claim on a class, collective, consolidated, or representative basis.

(Villagrana Decl., Exh. 1 a p. 2.)

This provision is therefore substantively unconscionable, and the Court must determine whether such provision is severable.

1. Severability

Given the substantive unconscionability, the Court must assess whether the portions of the Agreement which are substantively unconscionable are severable. Civil Code, section 1670.5, subdivision (a) provides general guidance regarding the severability of contract provisions:¿

If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.

The Armendariz Court, in determining whether an unconscionable provision in an employment contract was severable, elaborated:¿

Two reasons for severing or restricting illegal terms rather than voiding the entire contract appear implicit in case law. The first is to prevent parties from gaining underserved benefit or suffering undeserved detriment as a result of voiding the entire agreement. . . . Second, more generally the doctrine of severance attempts to conserve a contractual relationship if to do so would not be condoning an illegal scheme. [Citations.] The overarching inquiry is whether ‘the interests of justice . . . would be furthered’ by severance. [Citation.]”

(Armendariz v. Foundation Health Psychcare Services, Inc., supra, 24 Cal.4th at pp. 123-124.)¿

“Significantly, the strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement: Although ‘the statutes appear to give a trial court discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement[,] ... it also appears to contemplate the latter course only when an agreement is “permeated” by unconscionability.’[Citation]” (Dotson v. Amgen, Inc., supra, 181 Cal.App.4th 975, 986.)

Here, while the Agreement does contain terms that that are significantly substantively unconscionable, the provision is severable. Although the section titled “Waiver of Class, Collective, Consolidated and Representative Action Claims” creates a restriction on representative actions is a significantly unconscionable term, the Agreement, taken as a whole, is not "permeated" by unconscionability. Further, given "the strong legislative and judicial preference [] to sever the offending term and enforce the balance of the agreement" the Court, does so here. Therefore, the section titled "Waiver of Class, Collective, Consolidated and Representative Action Claims" to the Agreement is severed and stricken from the Agreement to limit the degree of substantive unconscionability. As a result, only a minimal amount of substantive unconscionability remains in the Agreement.

This, therefore, leaves us with only a minimal finding of both procedural and substantive conscionability. This is not enough under the sliding scale approach to invalidate the agreement as a whole.

Accordingly, Defendant's Motion to Compel Arbitration is GRANTED.

IT IS SO ORDERED.

Dated: June 24, 2026 ___________________________________

Randolph M. Hammock

Judge of the Superior Court

FN 1 - Stoker follows this same analysis: "The present case is analogous to Cook. As in that case, the arbitration agreement here is not limited to claims arising out of the employment relationship. Instead, it applies to any claim that might arise at any time between Stoker and Blue Origin or its parent, subsidiaries, affiliates, successors or assigns, or employees of any of these entities. Thus, for example, the arbitration agreement would apply if Stoker were to be injured in an automobile accident with another Blue Origin employee years after his employment ended, or if his house were damaged by debris from a Blue Origin rocket. The arbitration provision's broad scope, thus, renders it substantively unconscionable." (Stoker v. Blue Origin, LLC, supra, 120 Cal.App.5th 91, 108.)